Economics

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International Economic Outlook: April 2026

International Commentary

Economist(s)


Brendan McKenna


Aroop Chatterjee


Azhin Abdulkarim

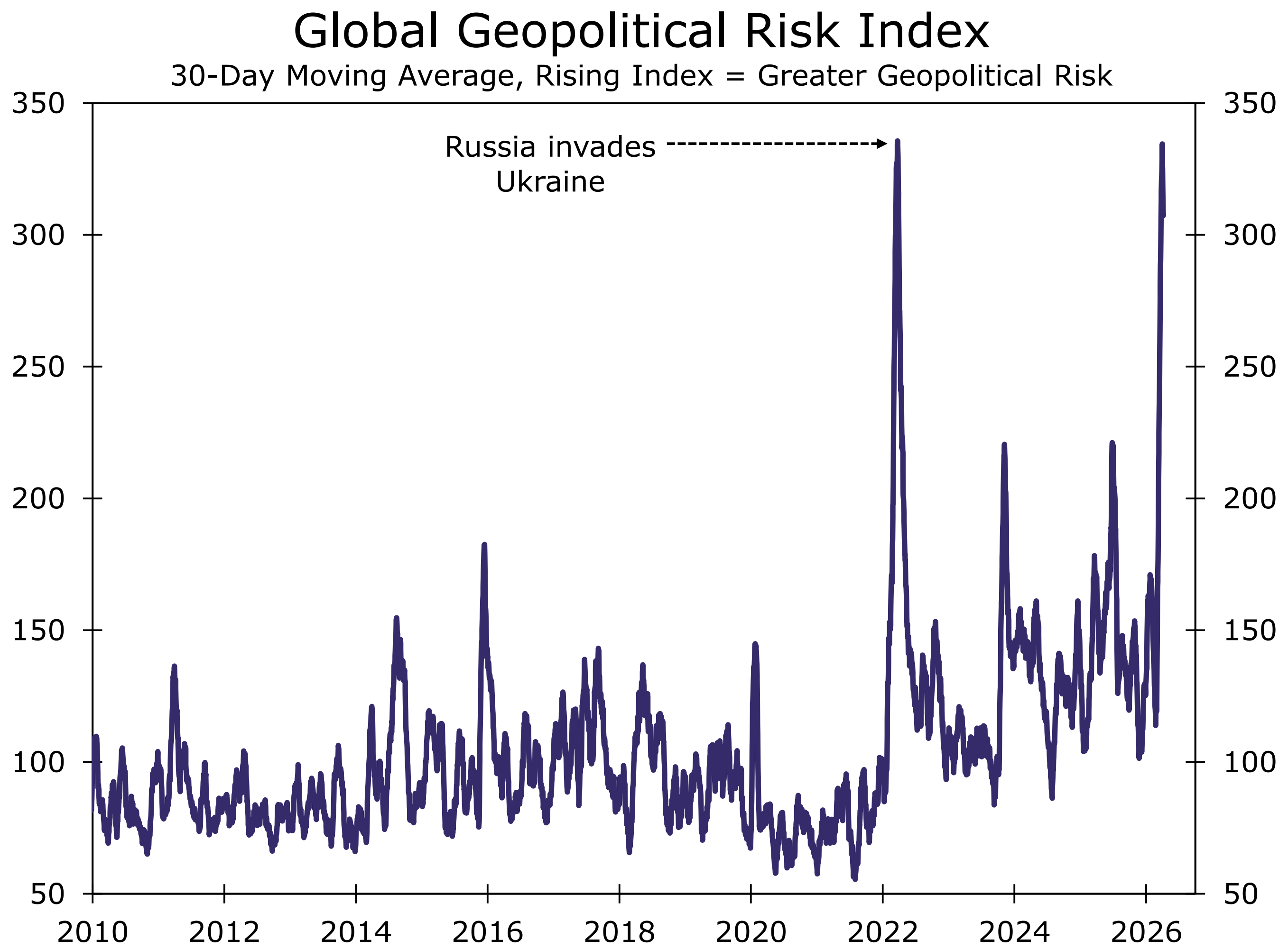
Summary

- **Ceasefire, not clarity.** The announced ceasefire looks fragile and keeps Middle East risk elevated. We still assume active conflict ends by mid-year and oil trends lower into H2 2026, but conviction on the outlook remains low amid persistent geopolitical stress.
- **Growth risks skew lower.** Higher oil prices, tighter financial conditions, and rising policy uncertainty push downside risks for 2026 growth. We have cut our 2026 global GDP forecast to 2.7%, below both last month and pre-conflict expectations.
- **Inflation risks skew higher.** A tentative ceasefire—that is already defined by repeated rejections of competing demands and violation allegations—keeps the possibility of higher oil prices, elevated uncertainty, and greater financial market volatility intact. Global CPI could be firmer than our 4.4% forecast for 2026.
- **Markets are underpricing the energy shock.** Consensus continues to price too little growth drag and too little inflation impulse. Our forecasts remain deliberately below consensus on GDP and above consensus on CPI.
- **This is a large and worsening supply shock.** The IEA estimates potential oil supply shut-ins near 10 mbpd, roughly 10% of global supply, with conditions deteriorating further through April.
- **Ceasefire does not mean normalization.** Shipping through Hormuz and energy production will recover slowly, if at all, without durable peace. Physical supply constraints and infrastructure damage likely persist for months.
- **The shock is broader than oil.** Disruptions to natural gas, fertilizers, aluminum, and helium amplify inflation risks, particularly via food and core goods, with Asia and key EMs most exposed.
- **Policy bias is shifting hawkish.** Central banks are signaling patience, but the tilt is tightening as inflation risks firm. We expect hikes in parts of G10 (Eurozone, Japan and Canada) and widening divergence across EM as external and inflation pressures build.

Key Themes

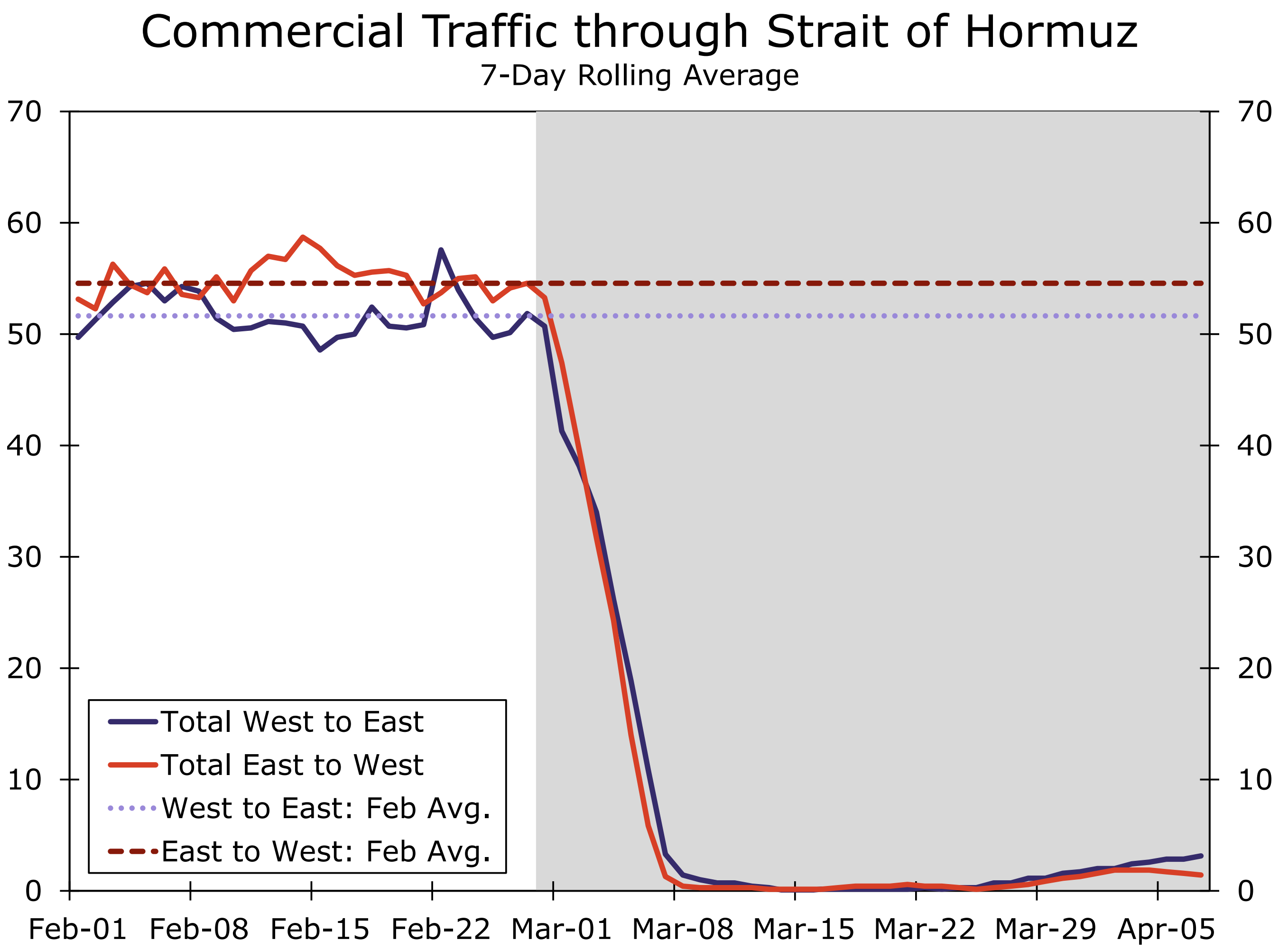
- **The fog of war.** The recently announced ceasefire appears fragile and likely keeps uncertainty in the Middle East intact. Our base case still assumes active conflict "ends" by mid-year and oil prices trend lower over the back half of 2026. Even so, against a backdrop of elevated geopolitical uncertainty (Figure 1) and an ongoing hot war in the Middle East, conviction around the global growth and policy outlook remains limited.
- **Growth risks are skewed lower.** Another leg higher in oil prices and a further tightening in global financial conditions, combined with heightened geopolitical and broader policy uncertainty, places additional downward pressure on global growth in 2026. Reflecting these risks, we have revised our 2026 global GDP forecast to 2.7%, down from 2.9% last month and below the 3.0% pace we expected prior to the onset of the conflict.

Figure 1



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2



Source: Bloomberg Finance L.P. and Wells Fargo Economics

- **Inflation risks are skewed higher.** The balance of risk is tilted to the downside on growth and to the upside on inflation. While we are not geopolitical strategists, the risk distribution around the evolution of the conflict now appears more balanced after the ceasefire. However, a tentative agreement—that is already defined by repeated rejections of competing ceasefire demands and violation allegations—keeps the possibility of higher oil prices, elevated uncertainty, and greater financial market volatility also intact. Should the ceasefire indeed prove fragile and temporary, inflation pressures may be reinforced. We currently forecast 2026 global CPI of 4.4%, but a re-escalation would likely generate a firmer inflation impulse than we embed today, even against softer global activity.

- **Consensus is underpricing the energy shock.** In our view, consensus continues to underestimate the energy-supply impact of the U.S./Israel-Iran war. Our global GDP forecast sits below consensus and our global CPI forecast above it, exactly where we want them. While estimates are moving in the right direction, we think economists are penciling in the growth drag and inflation impulse too gradually.

- **The scale of the shock is large and worsening.** The International Energy Agency (IEA) estimated potential oil supply shut-ins of roughly 10 mbpd in mid-March, about 10% of the global market, with recent guidance pointing to further deterioration in supply conditions through April.

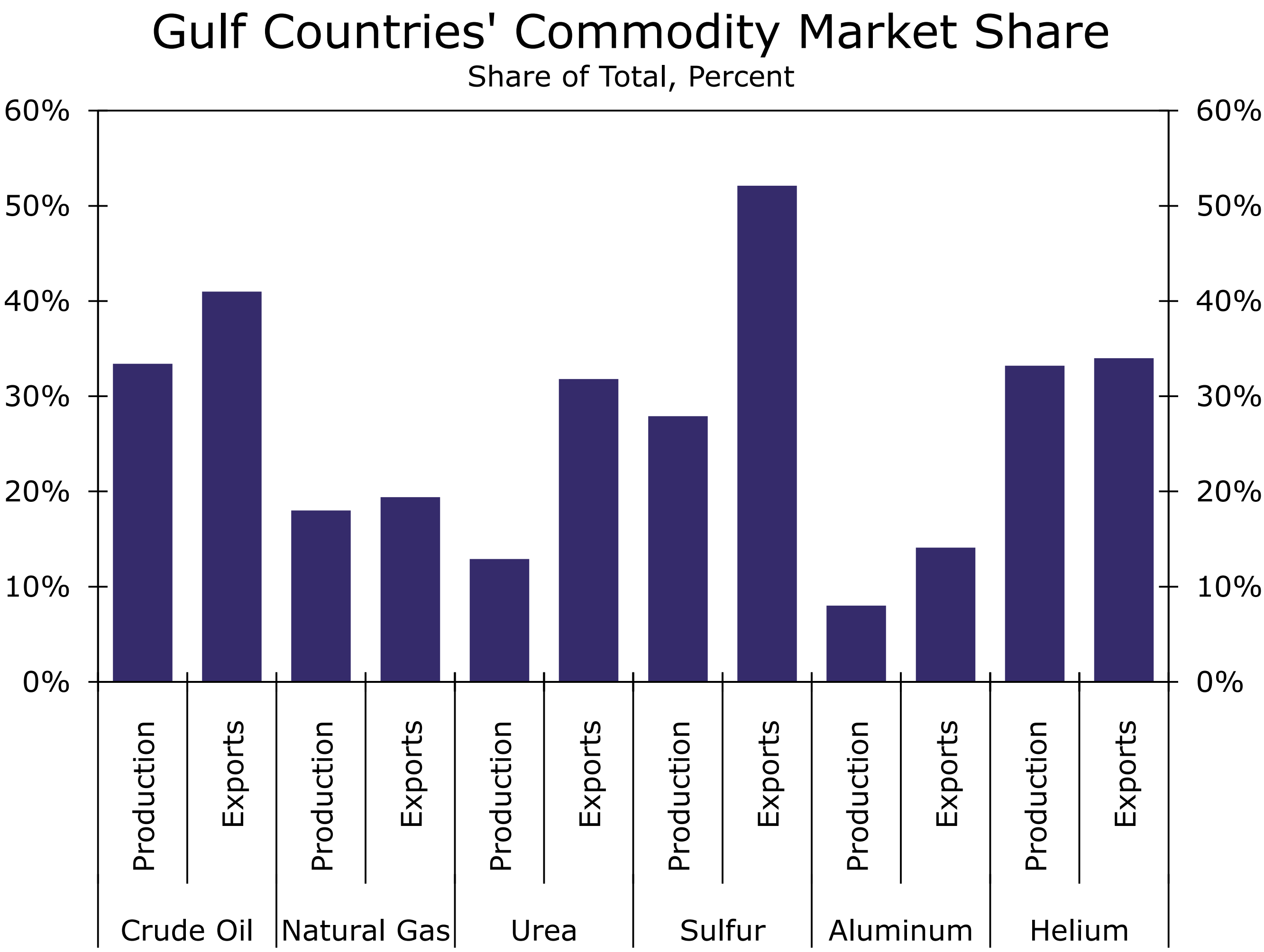
- **Ceasefire does not equal normalization.** Even with the temporary ceasefire, shipping through the Strait of Hormuz is unlikely to rebound quickly, as confidence among shipping companies hinges on sustained stability and a durable peace (Figure 2). Energy production will face an additional mechanical lag, with restarts likely only after shipping normalizes. Lasting damage to key Gulf energy infrastructure implies constrained physical supply could persist for many months. The gap between Tehran's demands and U.S./Israel/Gulf security requirements argues for rolling ceasefire extensions rather than a comprehensive settlement, limiting the scope for a return to pre-war conditions.

- **Disruptions already exceed past shocks.** Even at March levels, oil-market disruptions exceed those seen after Russia's invasion of Ukraine. Coordinated IEA petroleum releases and some easing of sanctions on Russia and Iran provide a temporary cushion of roughly 2 mbpd, but these are stopgaps rather than structural solutions.

- **Gas makes the shock broader.** The oil shock is compounded by disruptions to natural gas, with roughly 20% of global gas supply interrupted. Relief is likely to arrive only via bilateral or country-specific arrangements, not through a rapid global rebalancing.

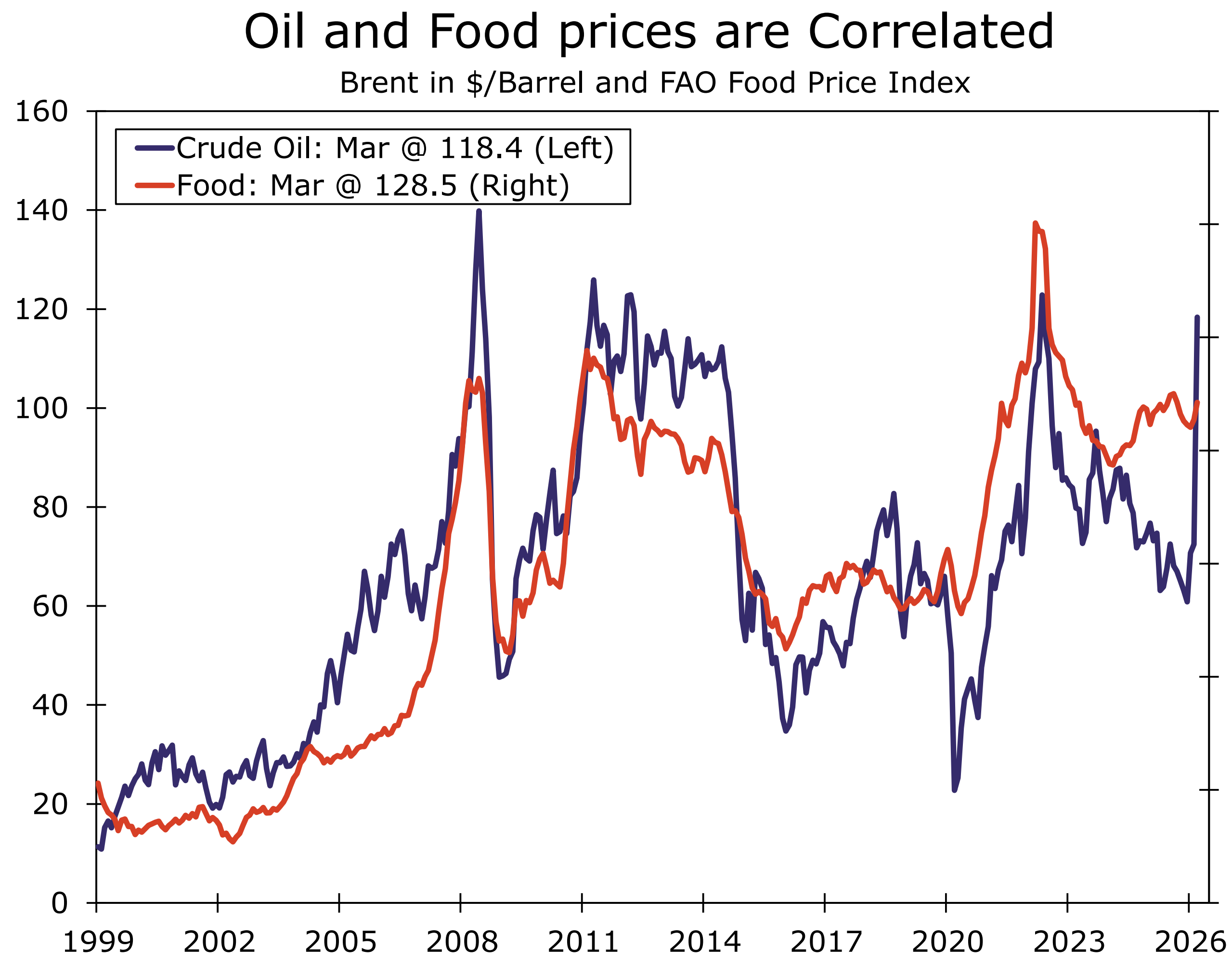
- **Macro transmission looks more powerful this time.** Combined oil and gas shocks raise inflation risks and increase second-round effects. Higher energy prices weigh on consumer demand, industrial production, and financial conditions. For energy importers, terms of trade deteriorates and fiscal balances worsen, especially where governments smooth prices. With debt dynamics already stretched, the pass-through to sovereign risk premia and policy credibility is likely stronger than in past episodes. As discussed in our previous Monthly Outlook, Japan, the Eurozone, and the U.K. are among the most exposed advanced economies, while in EM, Korea, Taiwan, Thailand, India, parts of CEEMEA, and Chile stand out as most vulnerable.

Figure 3



Source: EIA, USGS, IGU, OEC, WITS, ITC and Wells Fargo Economics

Figure 4



Source: Bloomberg Finance L.P. and Wells Fargo Economics

- **Beyond energy, non-energy transmission channels remain underappreciated.** The Gulf is primarily, but not exclusively, an oil story (Figure 3). The region also holds significant global market share in urea and sulfur used in fertilizers, aluminum critical to manufacturing and power infrastructure, and helium, a key input for semiconductors and advanced manufacturing. Among these, fertilizers represent the fastest and most politically destabilizing inflation channel, given their direct link to food prices.

- **The inflationary spillovers are likely sizable.** Energy and food inflation have historically been tightly linked (Figure 4), and that linkage is likely to intensify given current Gulf supply disruptions. We expect a rapid pass-through into agricultural input costs, particularly in South Asia, Africa, and Latin America, followed by strong second-round effects into food prices. Aluminum supply constraints are likely to weigh on a broad set of manufacturing sectors and feed into core goods inflation. Helium shortages are less directly inflationary but pose a meaningful risk to high-tech supply chains. Across non-energy commodities, exposure to Gulf supply disruptions is most concentrated in Asia, including India, Japan, Taiwan, Korea, and China, as well as major EMs such as South Africa, and Brazil.

- **"Wait and see" remains an option, but tightening bias is spreading.** Stuck between firming inflation and slowing growth, global central banks are thematically signaling patience on near-term policy moves. That said, the underlying tilt in communication has shifted in a more hawkish direction. This is most evident among major G10 central banks such as the European Central Bank (ECB) and the Bank of Canada (BoC), where we continue to expect rate hikes in the coming quarters. Elsewhere, central banks facing more persistent price pressures may either move earlier, as in Japan, or maintain restrictive stances for longer, as in the U.K.

- **EM central banks are proceeding cautiously, but divergences are widening.** The disinflation narrative is increasingly being tested. Brazil's central bank is likely to cut only cautiously, the Reserve Bank of India (RBI) is likely to remain on hold and the People's Bank of China (PBoC) may continue to ease via gradual Reserve Requirement Ratio (RRR) cuts rather than aggressive rate action. Mexico is a modest outlier. While fundamentals argue against further easing, we think Banxico is still likely to deliver one additional cut despite limited policy space. In contrast, other EM central banks, including the Bank of Korea and the Central Bank of Turkey, are now more likely to tighten policy amid firming inflation pressures and constrained external buffers.

Advanced Economies

- **Japan:** Energy price shocks and a weaker JPY strengthen the case for earlier Bank of Japan (BoJ) tightening and a higher terminal rate. We now expect lift-off to be pulled into Q2, either April or June, with scope for an additional hike in Q4, taking the policy rate to 1.25%. Japan's heavy reliance on imported energy, around 87% of total demand, and near-total dependence on the Middle East for crude amplify the growth drag from higher prices, even as fiscal support and large strategic petroleum reserves (roughly 254 days of cover) partially smooth the shock. At the same time, the risk of a wage-price spiral is rising after three consecutive years of 5% plus wage gains and four years of above-target CPI. The recent dip in headline inflation below 2% largely reflects energy subsidies and fading food base effects, while underlying core-core inflation remains firmly above target and fiscal policy stays expansionary. We have trimmed our 2026 growth forecast to 0% (from 0.2%) and raised our inflation forecast to 2.7% (from 2.3%). Against this backdrop, we expect the BoJ to lean more heavily on its revised guidance to counter upside inflation risks, particularly with Shunto negotiations pointing to another year of 5% plus wage growth and rising real wages reinforcing the virtuous cycle. Even with a 1.25% terminal rate in 2026, policy would remain mildly accommodative, near the lower bound of the estimated 1.0–2.5% neutral range. A weaker JPY further tilts risks toward additional hikes, while Ministry of Finance intervention thresholds are likely higher amid persistent structural dollar demand and elevated geopolitical uncertainty.

- **Eurozone:** We updated our ECB view after the March meeting, which was clearly hawkish despite the hold. Communication, projections and Lagarde's tone shifted decisively toward vigilance, with inflation risks now explicitly asymmetric. Core inflation is projected to remain above 2% through 2028, with greater emphasis on energy-driven persistence and second-round effects. Energy shocks now sit at the center of the policy narrative, with the ECB's adverse scenarios showing inflation surging and growth stalling under higher-for-longer oil prices. We cut our 2026 growth forecast to 0.7% (from 0.9%) and raised our inflation forecast to 3.7% (from 3.1%), based on futures-implied oil prices. The current setup increasingly echoes March 2022, but with key differences: inflation is closer to target, forward guidance is gone, and the reaction function is deliberately open-ended. Markets were not pushed back on tightening expectations, with two or more hikes already priced for 2026 and the ECB adopting a meeting-by-meeting stance. We now expect two hikes in 2026, 25 bps in Q2 and Q3 taking the policy rate to 2.50%, with upside risk if the oil shock intensifies or proves persistent.

- **United Kingdom:** We now expect the Bank of England (BoE) to remain on hold this year, with the Bank Rate staying at 3.75%, a shift from our prior call for two cuts in 2026. Before the energy supply shock, disinflation was progressing and the BoE was preparing markets for easing. However, as a net energy importer, the inflationary impact from the Middle East conflict is difficult to overlook, even with policy already restrictive at the top end of the estimated 2.75–3.75% neutral range. The weak labor market, low wage growth, and subdued activity argue for caution. That said, while energy price caps (Ofgem price mechanism) will limit some near-term pass-through until July, a prolonged conflict would keep upside risks to inflation alive, preserving optionality for the BoE to tighten later in the year if needed. Consistent with this backdrop, we cut our 2026 growth forecast to 0.6% (from 0.8%) and raised our inflation forecast to 3.6% (from 3.0%).

Figure 5

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 6

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Emerging Markets

- **China:** We believe China's economy will grow 4.5% this year—a below consensus forecast. Our GDP forecast is also on the bottom end of the official government growth target range, which we attribute to China's sensitivity to higher oil prices as well as our view that authorities' have limited policy response space, and little willingness to use the limited policy toolkit, to support activity. The lack of policy space keeps growth risks tilted to the downside. But unlike many oil importing EM nations in Asia that may be facing crisis conditions should current conditions persist, China's current account surplus and large FX reserves act as buffers to prevent a BOP shock and a run on the renminbi. Longer-term, structural impediments to growth (i.e., shrinking labor force, softening productivity, excess leverage) should keep growth on a downward trajectory going forward.

- **India:** Higher oil prices are negatively impacting India's economy, and we are lowering our calendar year GDP forecast to 6.5%, down from a prior forecast of ~7%. Prior to the oil price shock, India's economy was on a solid foundation, stable enough to withstand the initial impact of an oil price shock without having to make significant policy adjustments. Despite the downward revision, 6.5% growth is still solid enough to where RBI policymakers do not need to ease monetary policy. And while inflation should jump on higher energy and food costs, price growth off a low base allows the RBI flexibility to assess pass through to CPI before tightening monetary policy. The balance of risk is now tilted toward rate hikes, especially with the rupee under pressure and the rapid drawdown in FX reserves. But enhancing subsides to smooth the impact of higher commodity prices should also act as a restraint to raising policy rates, at least for the time being.

- **Brazil:** As an oil exporter, Brazil is less vulnerable to rising energy prices. With that said, weaker external demand could still weigh on Brazil's economy. For now, our GDP forecast is unchanged at ~1.7% and our above consensus CPI forecast is retained. Our outlook for firmer price pressures directly feeds into our long-held view for tempered Brazilian Central Bank (BCB) monetary easing. BCB policymakers delivered a cautious cut in March, and while choices have likely shifted to either keeping rates on hold or cutting 25 bps, as opposed to more aggressive easing, we believe policymakers will continue to lower the Selic Rate at 25 bps per meeting. Adding to our view for gradual rate cuts, and keeping the possibility of even more gradual easing alive, is a pre-election loosening of fiscal policy. With Lula now firmly behind in polls and cost of living pressures rising, we expect the administration to expand subsides and enhance Bolsa Familia-style household support. General elections are paramount for Brazil's long-term outlook. Polls are shifting in line with our view for a right-leaning administration to be elected, and as we near the date for when candidates need to declare official candidacy, we have become more confident Flavio Bolsonaro will unseat Lula and Brazil can have a better chance at reversing debt trends and achieving fiscal balance.

- **Mexico:** Still fragile and underwhelming growth prospects remain intact, and geopolitical tensions and a softening U.S. consumer only adds to Mexico's growth challenges. We made a modest downward revision to our 2026 GDP forecast this month, and continue to believe risks are tilted toward slower growth with USMCA renegotiations looming. Banxico cut policy rates in March, with rationale for easing still centered around sluggish activity and weak growth. In our view, the rise in energy prices and additional boost to inflation pressures complicate additional Banxico easing, despite weak growth. However, policy space constraints aside, we still believe Banxico can deliver one final 25 bps rate cut in Q2 for a terminal rate of 6.50%. Cutting again in Q2 may ultimately prove to be a policy mistake for Banxico—a scenario that could see policymakers pursue aggressive longer-term tightening should their views on inflation hitting target in the coming quarters prove too optimistic. A policy mistake could also weigh on the peso—an already overvalued currency—and make markets think twice about whether local political stability is enough to hold the peso as policy credibility is tested and carry is eroded.

Source: International Monetary Fund and Wells Fargo Economics

Source: Bloomberg Finance L.P. and Wells Fargo Economics

FX Forecasts

For FX Forecasts, please refer to Wells Fargo Macro Strategy's Currency Cartography: Shock Therapy report (page 11).

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com

Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 4/9/2026 unless otherwise stated. 4/9/2026 11:47:23 EDT.

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